

Groping in THE DARK

Power outages cost India nearly 1 per cent of GDP. Unless policy logjam is cleared, high growth will remain a dream.

| By Nivedita Mukherjee |

It is an outrageous fact that corporate India faces day after day. In colloquial terms it is called a power shutdown; experts call it an outage or disruption in power supply. Very simply power is not available for use. This disruption or outage, if you please, costs India Inc Rs 43,205 crore every year. The worst affected is India's offshoring capital Bangalore. Worse, if and when the disruption occurs, it takes over 70 minutes for power to be restored. This ugly truth has been unravelled in a study by IT hardware industry body Manufacturers' Association for Information Technology (MAIT) and Emerson Network Power. The study, covering 800 companies across 14 sectors in seven major cities, including Delhi, Pune, Bangalore and Mumbai, shows the rot in the power sector and its impact on the economy.

The crux of the matter is in the basic facts. India has the capacity to generate 203,000 MW of electricity (this includes 148,000 MW generated by power plants and 55,000 MW generated by captive power plants set up by individual companies). Of this nearly a third—27 per cent—is lost in transmission and distribution (T&D) and theft. According to the study, power outages, huge T&D losses and poor capacity additions have become a standing feature of the power story, affecting industry output and productivity. What is shocking is that despite lip service on the need for better quality and availability of power the overall loss from outages has doubled

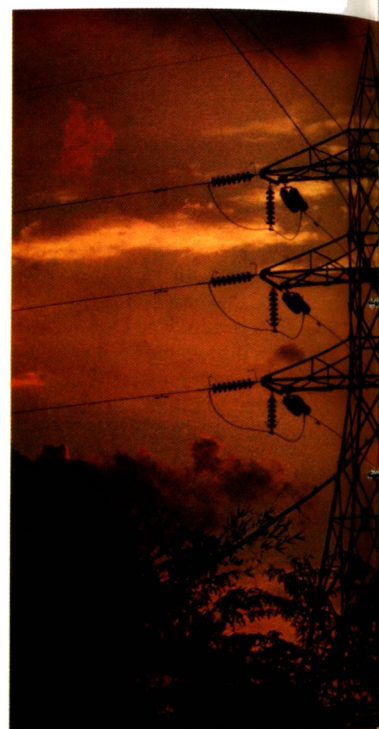
from Rs 22,000 crore in 2003. The crisis finds an echo in the north with Delhi and Pune only next to Bangalore in terms of power cuts.

Intriguingly, despite this, only 50 per cent of corporate audits mention losses due to downtime. Particularly surprising because this one entry—loss due to power outage—grew at an average of 11.9 per cent in the past five years. What's most appalling perhaps is that this is the state of affairs in a country which flaunts a reformist government credited with the great liberalisation of the '90s. Efforts at reforms, ranging from enacting stringent legislations and empowering regulators to pushing states to privatising electricity distribution have only been piecemeal. Several state electricity boards have medieval accounting systems, which hampers estimation. The Government ushered in private participation but has refused to de-regulate the power sector, says Vijay Kalantri, president, All India Association of Industry.

In fact, despite nearly two decades of debate nothing really seems to have changed. Kalantri feels there is little point in feeling elated over ultra mega power projects achieving financial

“In today's networked economy, seconds of downtime can result in losses of millions.”

VINNIE MEHTA
ED, MAIT



Rs 43,205 Cr

India Inc's loss in financial year 2008-09 due to high occurrence of power outages. The loss has doubled from Rs 22,000 crore in 2003.

closure if after 60 years of Independence, a power project has to go through 60-65 clearances and approvals and a good 18 months for it to take off. The line that lights up cities and powers factories continues to trip at every point—funding, government clearances, generation, distribution and even tariffs.

The worst-affected has been manufacturing. The power shortages and relentless scheduled and unscheduled cuts have only added to high interest rates and input costs, taking the sector's losses to Rs 15,466 crore. According to A. Sakthivel, president of the Federation of Indian Export Organisations, several textile units have either been forced to close down